

Accounting Firm / CPA — SaaS C-Corp • 28 Employees • \$3.5M ARR • R&D; Credit + Monthly Close

Executive summary — SaaS startup Austin, Delaware C-Corp plus subsidiary for contractors India, 28 W2 employees, 15 contractors, \$3.5M ARR, QuickBooks Online messy 6 months behind on close, currently local CPA \$800/month bookkeeping + \$5k tax = \$14,600/year total, missed R&D; credit last year despite \$180k engineering spend, 3-week reply time, year-end took 4 months. Trigger: IRS notice 2023 payroll mismatch \$12k CPA took 2 weeks to respond, investor asked for monthly financials burn and runway couldn't produce 6 months behind, expanded to sales tax 7 states CPA doesn't handle multi-state, tax extension deadline Sept 15, raising Seed Q3 needs clean books. Considered: Pilot \$2,200/month bookkeeping tax extra, Bench \$600/month no R&D; or multi-state, boutique \$1,500/month including tax and R&D;,, in-house bookkeeper \$55k and controller \$90k. Budget \$18k hard cap \$30k perfect annually monthly payments, live by July 1 before Seed and Sept 15 extension. Must-haves: monthly close by 15th accrual burn runway deferred revenue, QBO cleanup 6 months behind, Delaware C-Corp tax plus R&D; credit \$180k engineering, payroll tax and 1099s 15 contractors, 7-state sales tax, fundraising advisory cap table 409A, Slack 24-48hr not 3 weeks, integrations QBO/Gusto/Stripe/Brex. Risks: mid-year switch losing history QBO mess, \$8k extra billing surprise for R&D; and multi-state, IRS \$12k notice penalty, SaaS deferred revenue mishandled for Seed, \$30k with 3-week replies, boutique too small for 50 employees next year. Success 12 months: close by 15th monthly burn/runway accurate, QBO cleaned 6 months behind, R&D; credit filed \$180k saved taxes, IRS \$12k resolved no penalty, 7-state compliant, 1099s payroll clean, Seed raised clean financials, under \$18k/year, Slack 24-48hr, proactive tax moves before Sept 15.

The decision

Replace local CPA \$800/month + \$5k tax = \$14,600/year who missed R&D; credit \$180k engineering, 3-week reply, 4-month year-end, doesn't handle 7-state sales tax, slow on IRS \$12k notice, with firm that provides monthly close by 15th accrual burn runway deferred revenue, QBO cleanup 6 months behind, Delaware C-Corp tax plus R&D; credit, payroll tax 1099s 15 contractors, 7-state sales tax, fundraising advisory cap table 409A, Slack 24-48hr, QBO/Gusto/Stripe/Brex integrations, under \$18k hard cap \$30k perfect annually monthly payments live by July 1 before Seed Q3 and Sept 15 extension, or keep current CPA and hire in-house bookkeeper \$55k plus controller \$90k if no firm meets monthly close, R&D;,, multi-state, and responsiveness criteria.

Decision maker

Founder/CEO SaaS startup Austin — Delaware C-Corp plus India subsidiary, 28 W2 employees, 15 contractors, \$3.5M ARR, manages fundraising Seed Q3, uses QBO/Gusto/Stripe/Brex, IRS notice \$12k payroll mismatch, 7-state sales tax expansion, extension Sept 15.

Situation

Current: SaaS startup Austin Delaware C-Corp plus subsidiary India contractors, 28 W2 employees 15 contractors, \$3.5M ARR, QuickBooks Online messy 6 months behind on close, no monthly close burn runway deferred revenue, integration QBO/Gusto/Stripe/Brex but books messy. Current CPA local \$800/month bookkeeping + \$5k tax = \$14,600/year, missed R&D; credit last year \$180k engineering spend, 3-week reply, year-end 4 months, doesn't handle 7-state sales tax, slow on IRS notice \$12k payroll mismatch 2 weeks response, tax extension Sept 15 deadline.

Usage: Raising Seed Q3 needs clean books monthly financials burn and runway investor asked, expanded to sales tax 7 states, IRS notice \$12k 2023 payroll mismatch, payroll tax and 1099s for 15 contractors, fundraising advisory cap table 409A, Slack communication expected 24-48hr not 3 weeks, QBO cleanup 6 months behind, Delaware C-Corp plus subsidiary.

Financial: Currently \$14,600/year \$800/mo + \$5k tax, can go \$18k hard cap \$30k perfect annually monthly payments can't do big upfront, need live by July 1 before Seed and Sept 15 extension, considered Pilot \$2,200/month

bookkeeping tax extra, Bench \$600/month no R&D; multi-state, boutique \$1,500/month including tax and R&D;, in-house bookkeeper \$55k controller \$90k.

Desired outcome

In 12 months books closed by 15th every month with burn and runway accurate, QBO cleaned from 6 months behind, R&D; credit filed for \$180k engineering and saved taxes, IRS \$12k notice resolved with no penalty, 7-state sales tax compliant, 1099s and payroll tax clean, Seed raised with clean financials investor liked, total under \$18k/year, Slack replies within 24-48 hours not 3 weeks, and CPA proactively tells us about tax moves before Sept 15 deadline, not after.

Prior experience

- Local CPA \$800/month + \$5k tax = \$14,600/year — missed R&D; credit \$180k engineering, 3-week reply, 4-month year-end, doesn't handle 7-state sales tax, slow IRS \$12k notice 2 weeks, QBO 6 months behind
- No monthly close — investor asked for burn and runway couldn't produce, books 6 months behind, deferred revenue SaaS not tracked
- IRS notice \$12k payroll mismatch 2023 — CPA slow response risk penalty, extension Sept 15
- Considered Pilot \$2,200/mo, Bench \$600/mo no R&D;, boutique \$1,500/mo incl tax + R&D;, in-house bookkeeper \$55k controller \$90k — friend recommendation stay and hire controller \$90k but don't want salary

Priorities

- Monthly bookkeeping and close by 15th accrual burn runway deferred revenue SaaS with QBO cleanup 6 months behind
- Delaware C-Corp tax plus R&D; credit for \$180k engineering — missed last year must file
- Payroll tax and 1099s for 15 contractors plus W2 28 employees, 7-state sales tax compliance
- Fundraising advisory — cap table, 409A, Seed Q3 clean financials investor-ready
- Slack communication 24-48 hour reply not 3 weeks, proactive tax moves before Sept 15
- Integrations QBO/Gusto/Stripe/Brex, live by July 1

Constraints

- Budget \$14,600 now \$18k hard cap \$30k perfect annually monthly payments can't do big upfront, under \$18k target
- Timeline live by July 1 before Seed Q3 and Sept 15 extension deadline, IRS \$12k notice needs resolution
- Delaware C-Corp plus India subsidiary complexity, 28 W2 15 contractors, \$3.5M ARR
- 7-state sales tax — CPA must handle multi-state, current doesn't
- R&D; credit \$180k engineering — must be included not \$8k extra billing surprise
- Slack 24-48hr not email only 3-week reply, QBO/Gusto/Stripe/Brex integrations

Options considered

- Keep local CPA \$800/mo + \$5k tax = \$14,600/year and hire in-house bookkeeper \$55k — avoids switch risk but still misses R&D; credit \$180k, 3-week reply, 6 months behind, doesn't handle 7-state sales tax, IRS \$12k slow, year-end 4 months
- Bench \$600/month — cheap within \$18k cap but no R&D; credit \$180k and no multi-state 7 states and no fundraising advisory cap table 409A
- Pilot \$2,200/month bookkeeping tax extra — monthly close by 15th good but over \$18k cap when tax added, R&D; credit extra, may exceed \$30k perfect

- Boutique SaaS firm \$1,500/month including tax and R&D; — meets \$18k cap \$30k perfect, includes R&D; credit \$180k and 7-state, Slack 24-48hr, but boutique may be too small for 50 employees scale next year

Tradeoffs

- Cheap Bench \$600 vs boutique \$1,500 vs Pilot \$2,200 — Bench saves within \$18k but misses R&D; credit \$180k and 7-state, boutique meets cap includes R&D; Pilot over cap when tax added
- In-house bookkeeper \$55k + controller \$90k vs outsourced \$18k cap \$30k perfect — in-house control but \$145k salary vs \$18k outsourced, still need CPA for tax and R&D;
- Stay vs switch mid-year — stay avoids losing history QBO mess but keeps 6 months behind and IRS \$12k slow and 3-week reply, switch risks history loss but cleans QBO before Seed Q3
- Boutique small vs larger firm — boutique \$1,500/month responsive Slack 24-48hr includes R&D; but may be too small for 50 employees next year, larger firm scalable but \$30k perfect and 3-week reply risk
- \$18k cap vs \$30k perfect — \$18k hard cap meets budget but may exclude fundraising advisory cap table 409A, \$30k perfect includes but higher than current \$14.6k

Risks and concerns

- Switching mid-year losing history or QBO getting messed more — 6 months behind cleanup risks messing Seed financials
- Firm low-balls \$1,500/month then bills \$8k extra at year end for R&D; credit \$180k and multi-state 7 states — budget \$18k cap surprise
- Misses IRS \$12k notice deadline and we get penalties — CPA took 2 weeks response on \$12k payroll mismatch
- Doesn't understand SaaS deferred revenue and messes up books for Seed Q3 — monthly close burn runway deferred revenue critical
- We pay \$30k perfect and still get 3-week replies not Slack 24-48hr — prior CPA 3-week reply 4-month year-end
- Boutique firm too small if we grow to 50 employees next year — scalability risk, need fundraising advisory cap table 409A

Unknowns

- Real total cost — does \$18k cap \$30k perfect include bookkeeping + tax + R&D; credit \$180k + 7-state sales tax + 1099s 15 contractors or extra \$8k billing?
- QBO cleanup scope — does \$1,500/month include 6 months behind cleanup and deferred revenue SaaS fix for Seed?
- IRS \$12k notice resolution — will firm handle 2023 payroll mismatch \$12k and avoid penalty before Sept 15?
- R&D; credit proof — has firm filed R&D; for \$180k engineering for Delaware C-Corp SaaS and saved taxes?
- Slack responsiveness — will firm reply 24-48hr on Slack vs 3 weeks email and handle monthly close by 15th?
- Scalability — can boutique \$1,500/month handle 50 employees next year and Seed fundraising cap table 409A and India subsidiary?

Decision criteria

- Monthly close by 15th accrual burn runway deferred revenue SaaS with QBO cleanup 6 months behind, integrations QBO/Gusto/Stripe/Brex
- Delaware C-Corp tax plus R&D; credit for \$180k engineering filed and saved taxes, payroll tax 1099s 15 contractors, 7-state sales tax compliant, no \$8k extra billing surprise
- Fundraising advisory cap table 409A Seed Q3 clean financials investor-ready
- Slack 24-48hr reply not 3 weeks, proactive tax moves before Sept 15, IRS \$12k notice resolved no penalty

- Total under \$18k hard cap \$30k perfect annually monthly payments live by July 1, scalable to 50 employees next year, not boutique too small
- References for SaaS C-Corp \$3.5M ARR 28 employees

Next steps

1. Export QBO with 6 months behind transactions and Stripe Brex Gusto and list 15 contractors and 28 W2 and \$180k engineering for R&D; and 7-state sales tax nexus and IRS \$12k notice letter and current CPA \$800/mo + \$5k tax contract
2. Shortlist 3: boutique SaaS firm \$1,500/mo incl tax + R&D; Pilot \$2,200/mo, and one local larger firm that writes Delaware C-Corp — request proposal for monthly close by 15th burn runway deferred revenue, QBO cleanup, R&D; credit \$180k, 7-state, 1099s, cap table 409A, Slack 24-48hr
3. Test responsiveness — Slack message each and ask sample burn and runway and R&D; credit \$180k question and time reply vs 3 weeks, ask for sample monthly close package
4. Get out-the-door pricing under \$18k cap \$30k perfect annually monthly payments, does it include R&D; credit \$180k and 7-state and 1099s or extra \$8k billing, audit terms, and IRS \$12k notice handling
5. Check references for SaaS C-Corp \$3.5M ARR 28 W2 raising Seed Q3, sign engagement live by July 1 before Seed and Sept 15 extension, and plan QBO cleanup before investor asks monthly financials

Recommendation

Do not keep local CPA \$800/mo + \$5k tax = \$14,600/year if misses R&D; credit \$180k and 3-week reply and 4-month year-end and doesn't handle 7-state sales tax and slow IRS \$12k notice. Do not buy Bench \$600/mo if no R&D; credit and no multi-state and no fundraising advisory cap table 409A. Do not buy Pilot \$2,200/mo if over \$30k perfect when tax added and over \$18k cap and still bills extra for R&D.; Do not hire in-house bookkeeper \$55k and controller \$90k if still need CPA and total \$145k exceeds \$30k perfect. Proceed only with firm under \$18k hard cap \$30k perfect annually monthly payments that proves in proposal: monthly close by 15th accrual burn runway deferred revenue with QBO cleanup 6 months behind, R&D; credit \$180k filed, payroll 1099s 15 contractors, 7-state compliant, cap table 409A Seed ready, Slack 24-48hr, QBO/Gusto/Stripe/Brex integrations, IRS \$12k notice resolved no penalty, live by July 1, scalable to 50 employees. If no firm meets all under \$30k, negotiate boutique \$1,500/mo to \$18k cap with R&D; included and guarantee 24-48hr Slack or consider Pilot but cap total \$30k with R&D; included.